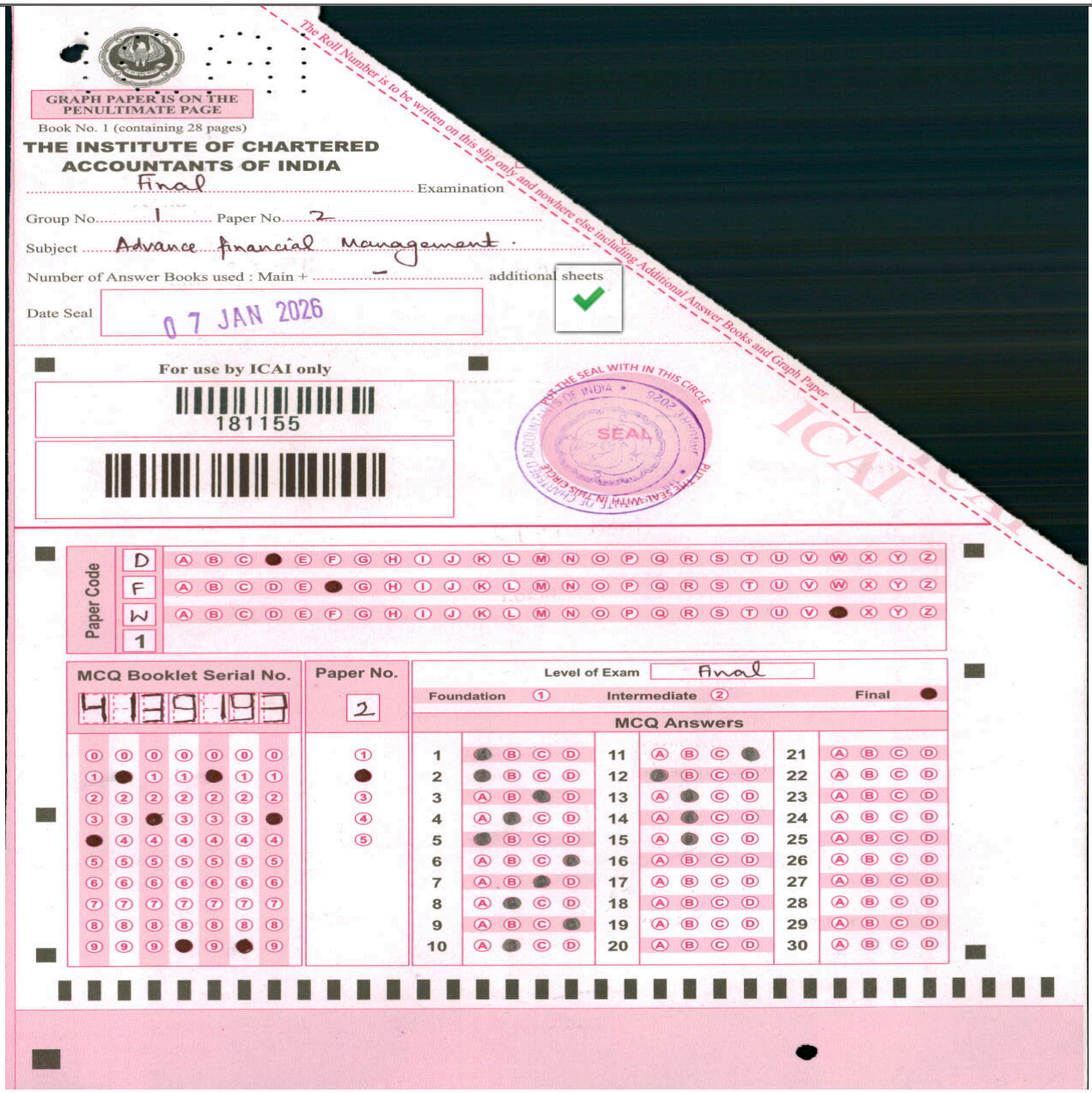
The Institute of Chartered Accountants of India

Code:	**FN2AF181155**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**47**



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final Examination

Group No. 1 Paper No. 2

Subject Advance financial Management.

Number of Answer Books used : Main + - additional sheets

Date Seal 07 JAN 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper

For use by ICAI only

181155

PUT THE SEAL WITH IN THIS CIRCLE

SEAL

Paper Code: D F W 1

MCQ Booklet Serial No. 4139193

Paper No. 2

Level of Exam: Final (Foundation ① Intermediate ② Final ●)

MCQ Answers

1		B	C	D	11	A	B	C	●	21	A	B	C	D
2	●	B	C	D	12	●	B	C	D	22	A	B	C	D
3	A	B	●	D	13	A	●	C	D	23	A	B	C	D
4	A	●	C	D	14	A	●	C	D	24	A	B	C	D
5	●	B	C	D	15	A	●	C	D	25	A	B	C	D
6	A	B	C	●	16	A	B	C	D	26	A	B	C	D
7	A	B	●	D	17	A	B	C	D	27	A	B	C	D
8	A	●	C	D	18	A	B	C	D	28	A	B	C	D
9	A	B	C	●	19	A	B	C	D	29	A	B	C	D
10	A	●	C	D	20	A	B	C	D	30	A	B	C	D

The Institute of Chartered Accountants of India

Code: FN2AF181155 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 47

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a fresh page and question number prominently written at the

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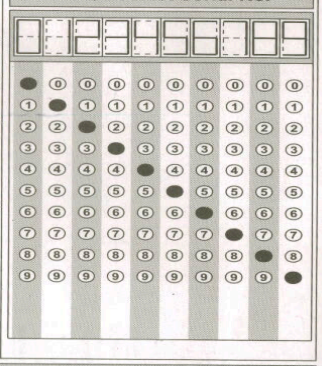
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sus", "786", etc., will tantamount to adoption of "unfair means"

nswer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.



RUCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

H.B. Pencil to Darken the appropriate Circle.

and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

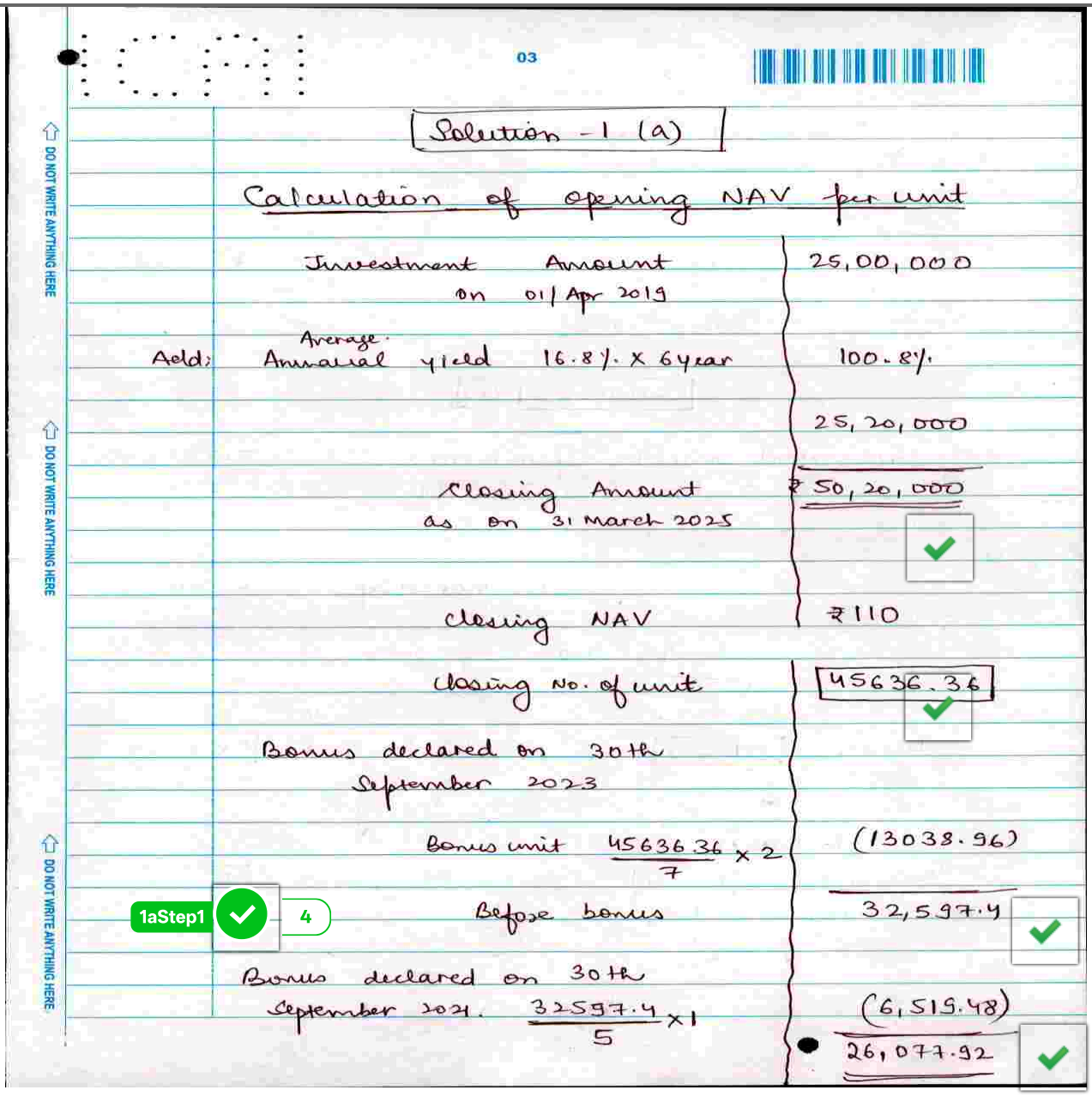
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5. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
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7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD	WRONG METHOD
Ⓐ ● Ⓒ Ⓓ	⊗ ⊘ ◉ ○

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	



03

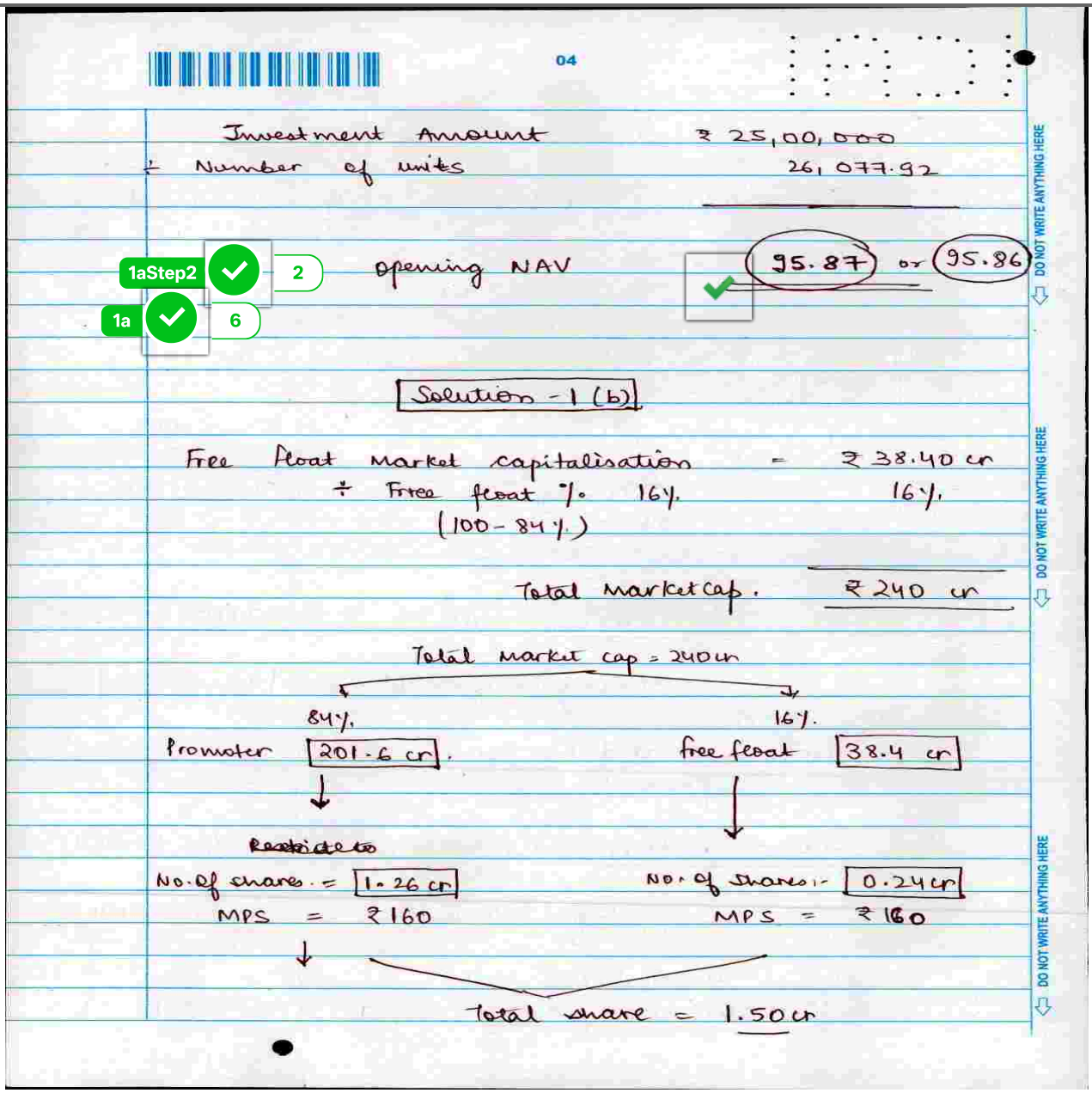
Solution - 1 (a)

Calculation of opening NAV per unit

Investment Amount on 01/Apr 2019	25,00,000
Add: Average Annual yield 16.8% × 6 year	100.8%
	25,20,000
Closing Amount as on 31 March 2025	₹ 50,20,000
Closing NAV	₹110
Closing No. of unit	45636.36
Bonus declared on 30th September 2023	
Bonus unit 45636.36/7 × 2	(13038.96)
Before bonus	32,597.4
Bonus declared on 30th September 2024. 32597.4/5 × 1	(6,519.48)
	26,077.92

1aStep1 4

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04

Investment Amount ₹ 25,00,000
÷ Number of units 26,077.92

1aStep2 2 1a 6

opening NAV 95.87 or 95.86

Solution - 1 (b)

Free float Market capitalisation = ₹ 38.40 cr
÷ Free float % 16% 16%
(100 - 84%)

Total market cap. ₹ 240 cr

Total Market cap = 240 cr

84% 16%

Promoter 201.6 cr. free float 38.4 cr

No. of shares = 1.26 cr No. of shares :- 0.24 cr
MPS = ₹ 160 MPS = ₹ 160

Total share = 1.50 cr

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05

(i) P/E Ratio :-

$= \frac{\text{Total Market cap.}}{\text{PAT}} = \frac{₹240}{₹9.6}$

$= 25$

(ii) Bonus Ratio

No. of share with promotor to be restricted to 75%. $= \frac{1.26 \text{ cr}}{75\%}$

Total shares. $= 1.68 \text{ cr}$

share before such restriction $= 1.50 \text{ cr}$

0.18 cr

3 for every 4 shares held

Bonus $\frac{0.24 \text{ cr}}{4} \times 3 = 0.18 \text{ cr}$

(iii) Market price of share after Bonus issue.

$MPS = \frac{EAT}{No. of share} \times PIE = \frac{₹9.6 \text{ cr}}{1.68 \text{ cr}} \times 25 = ₹142.857 \sim ₹142.86$

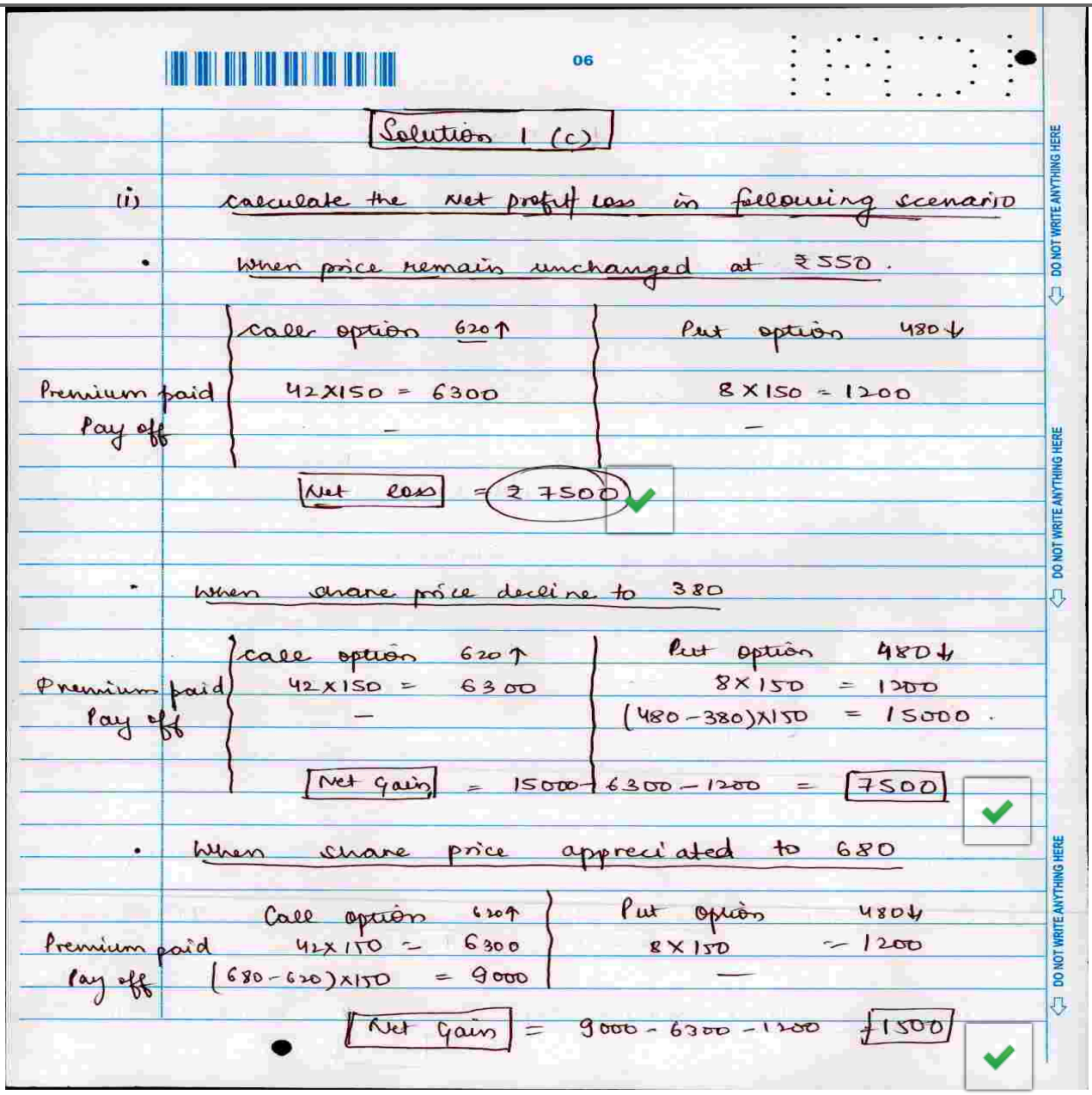
1bStep1 3

1b 3

Free float Market Cap $= (0.24 * 0.18) \times 142.86$

$= 60 \text{ cr}$

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06

Solution 1 (c)

(i) Calculate the Net profit loss in following scenario

- When price remain unchanged at ₹550.

	Call option 620↑	Put option 480↓
Premium paid	42X150 = 6300	8X150 = 1200
Pay off	–	–

Net loss = ₹ 7500 ✔

- When share price decline to 380

	Call option 620↑	Put option 480↓
Premium paid	42X150 = 6300	8X150 = 1200
Pay off	–	(480-380)X150 = 15000.

Net Gain = 15000 + 6300 – 1200 = 7500 ✔

- When share price appreciated to 680

	Call option 620↑	Put option 480↓
Premium paid	42X150 = 6300	8X150 = 1200
Pay off	(680-620)X150 = 9000	–

Net Gain = 9000 - 6300 - 1200 = 1500 ✔

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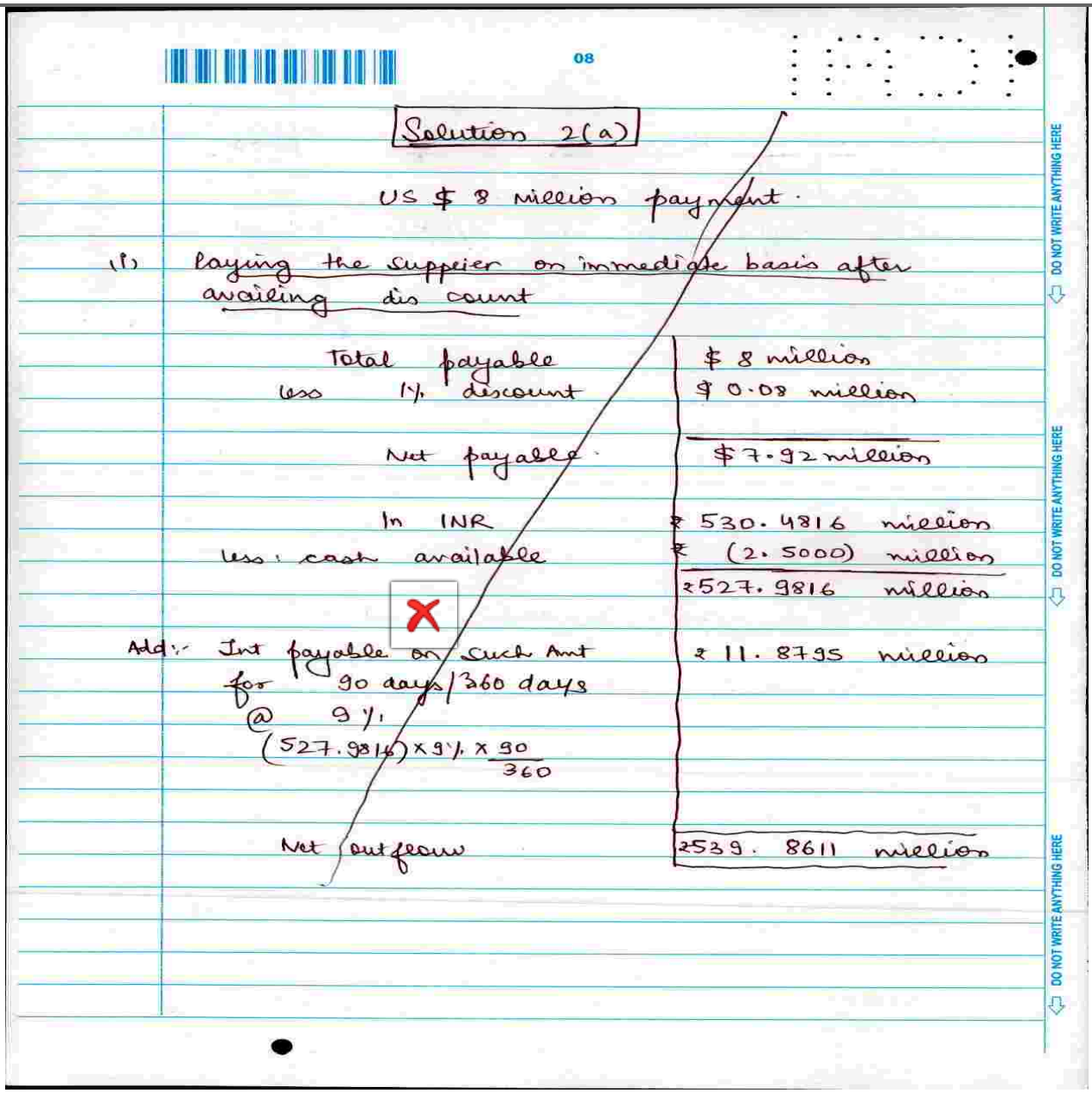
07

(ii) Determination of lowerx and upper breakeven points

Upper shall be = 620 + 50 = ₹ 670
lower shall be = 480 - 50 = ₹ 430

1cStep1 4
1c 4
1 13

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08

Solution 2(a)

US $ 8 million payment.

(i) Paying the supplier on immediate basis after availing discount

Total payable	$ 8 million
Less 1% discount	$ 0.08 million
Net payable	$ 7.92 million
In INR	₹ 530.4816 million
Less: cash available	₹ (2.5000) million
	₹ 527.9816 million
Add:- Int payable on such Amt for 90 days/360 days @ 9% (527.9816) × 9% × 90/360	₹ 11.8795 million
Net outflow	₹ 539.8611 million

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09

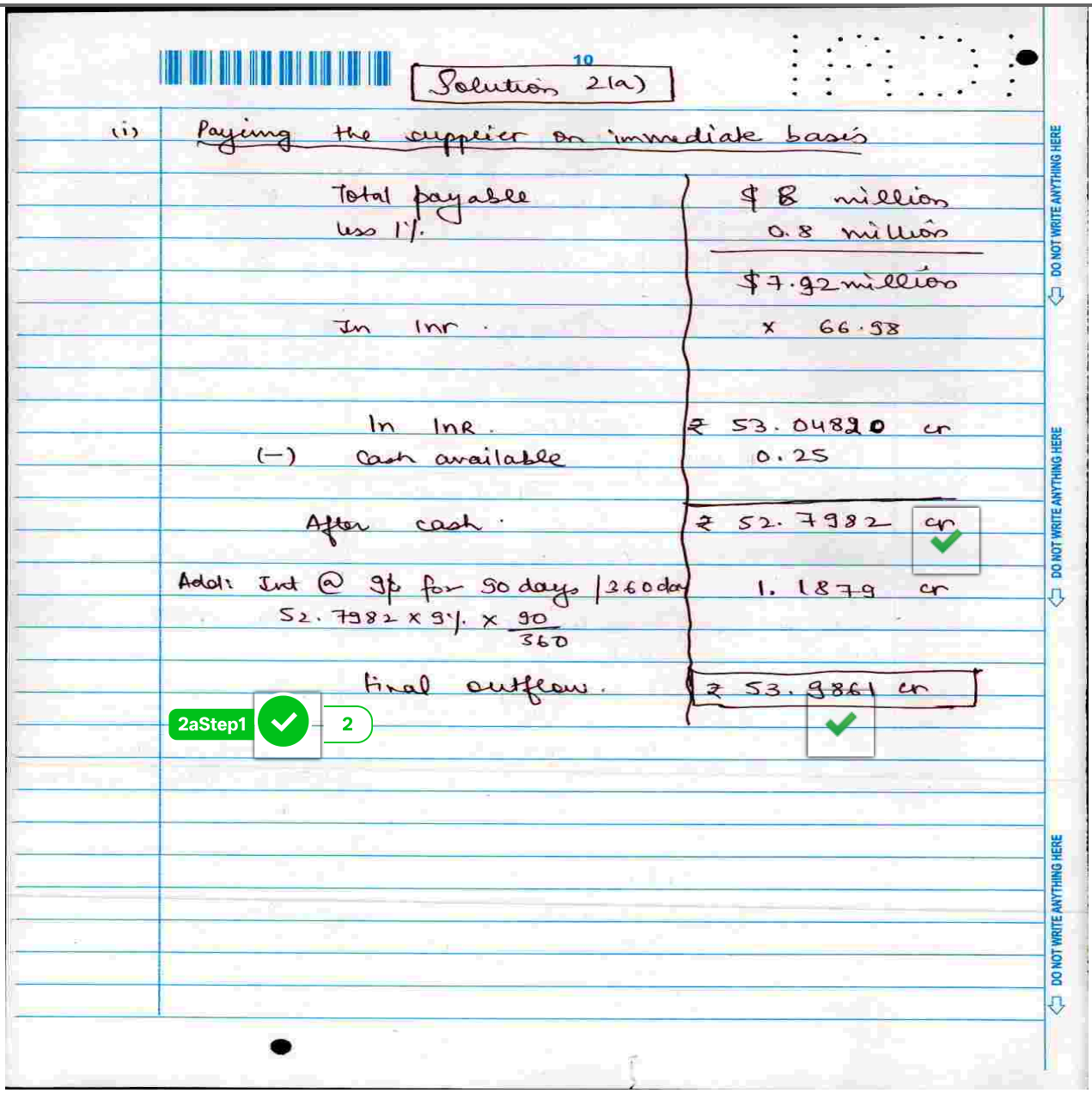
(ii) Paying the supplier on 60th day and avail bank loan for 30 days

Total payable		US$ 8 million
In INR	× 67.16	₹ 537.28 million
less: cash available	2.5 million	₹ 2.5167 million
Add: int for 60 day (2.5 × 4% × 60/360)	0.01667	
	2.5167 million	
		₹534.7633 million
Add: Int payable for 30 days/360 day on such amount @ 9%. (534.7633 × 9% × 30/360)		₹ 4.0107 million
		₹538.7740 million

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10

Solution 2(a)

(i) Paying the supplier on immediate basis

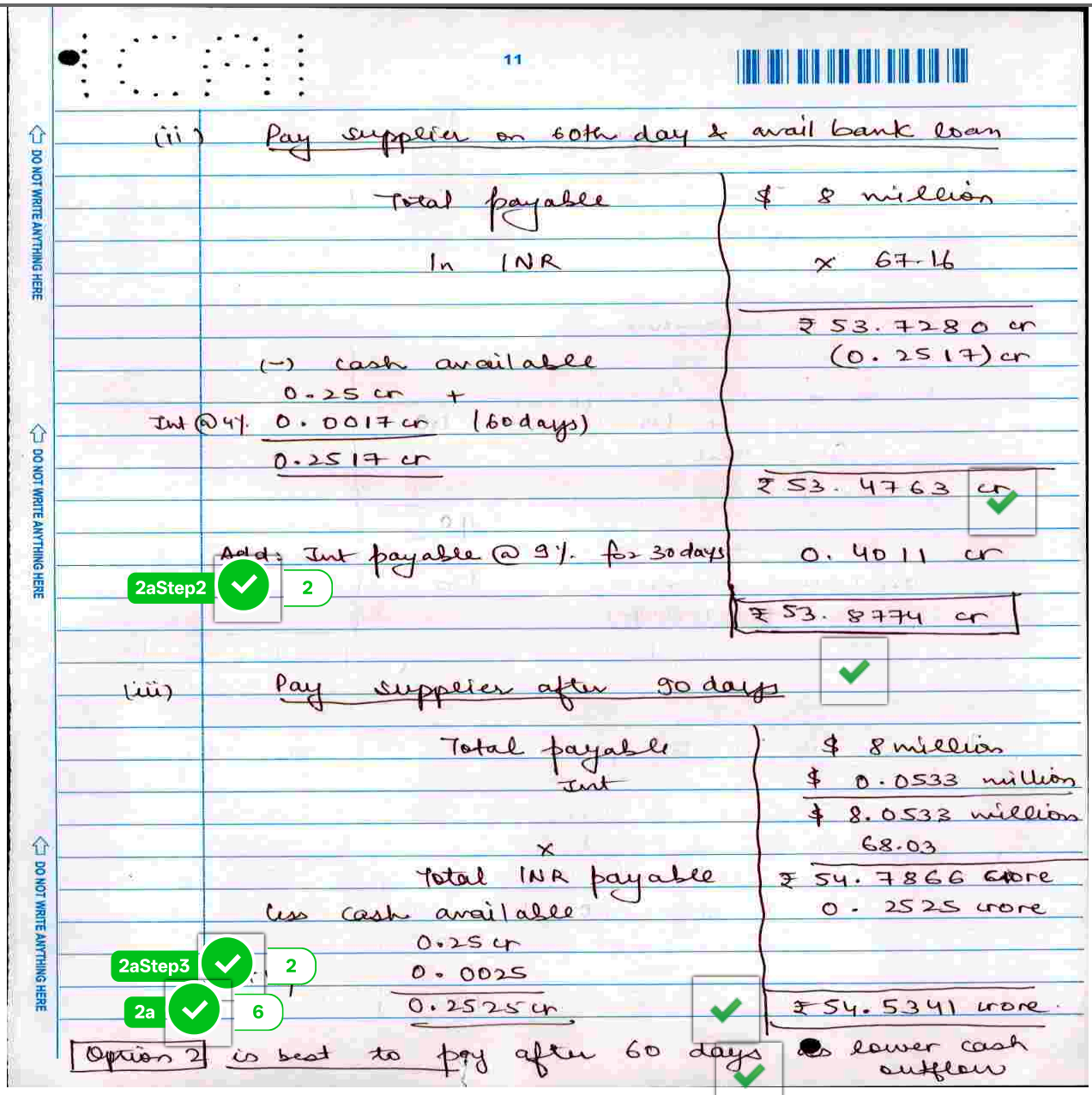
Total payable	$ 8 million
less 1%	0.8 million
	$7.92 million
In Inr.	x 66.98
In INR.	₹ 53.04820 cr
(–) Cash available	0.25
After cash.	₹ 52.7982 cr ✓
Add: Int @ 9% for 90 days / 360 days 52.7982 x 9% x 90/360	1.1879 cr
final outflow.	₹ 53.9861 cr ✓

2aStep1 ✓ 2

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11

(ii) Pay supplier on 60th day & avail bank loan

Total payable	$ 8 million
In INR	x 67.16
	₹ 53.7280 cr
(-) cash available	(0.2517) cr
0.25 cr +	
Int @4% 0.0017 cr (60 days)	
0.2517 cr	
	₹ 53.4763 cr
Add: Int payable @ 9% for 30 days	0.4011 cr
	₹ 53.8774 cr

2aStep2 2

(iii) Pay supplier after 90 days

Total payable	$ 8 million
Int	$ 0.0533 million
	$ 8.0533 million
x	68.03
Total INR payable	₹ 54.7866 crore
Less cash available	0.2525 crore
0.25 cr	
0.0025	
0.2525 cr	
	₹ 54.5341 crore

2aStep3 2

2a 6

Option 2 is best to pay after 60 days as lower cash outflow

12

Solution - 2 (b)

(i) If the co. is operating at 65% capacity usage for fixed Asset

~~Sales Revenue ₹ 4000~~

Increase in sales 3000 cr

Increase in Assets (100-65-40) 5%

Fixed Asset (4000 × ~~65%~~) ~~400~~

Current Asset 800

Less. payable -600

~~₹ 400~~

less Retained earnings :- 105

(140) × (1 - 25%)

EFR. ✗ ~~₹ 295~~ cr

(ii) If the co. is operating at 95% capacity

Increase in Sales 3000 cr

Increase in Asset.

Fixed Asset (4000 × 35%) 1400

(CA - Current Liab) (2000 - 1500) × 40%

~~800~~

1600 ✗

(105)

₹ 1495 cr

2bStep1 ✗ 0

2b ✗ 0

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13

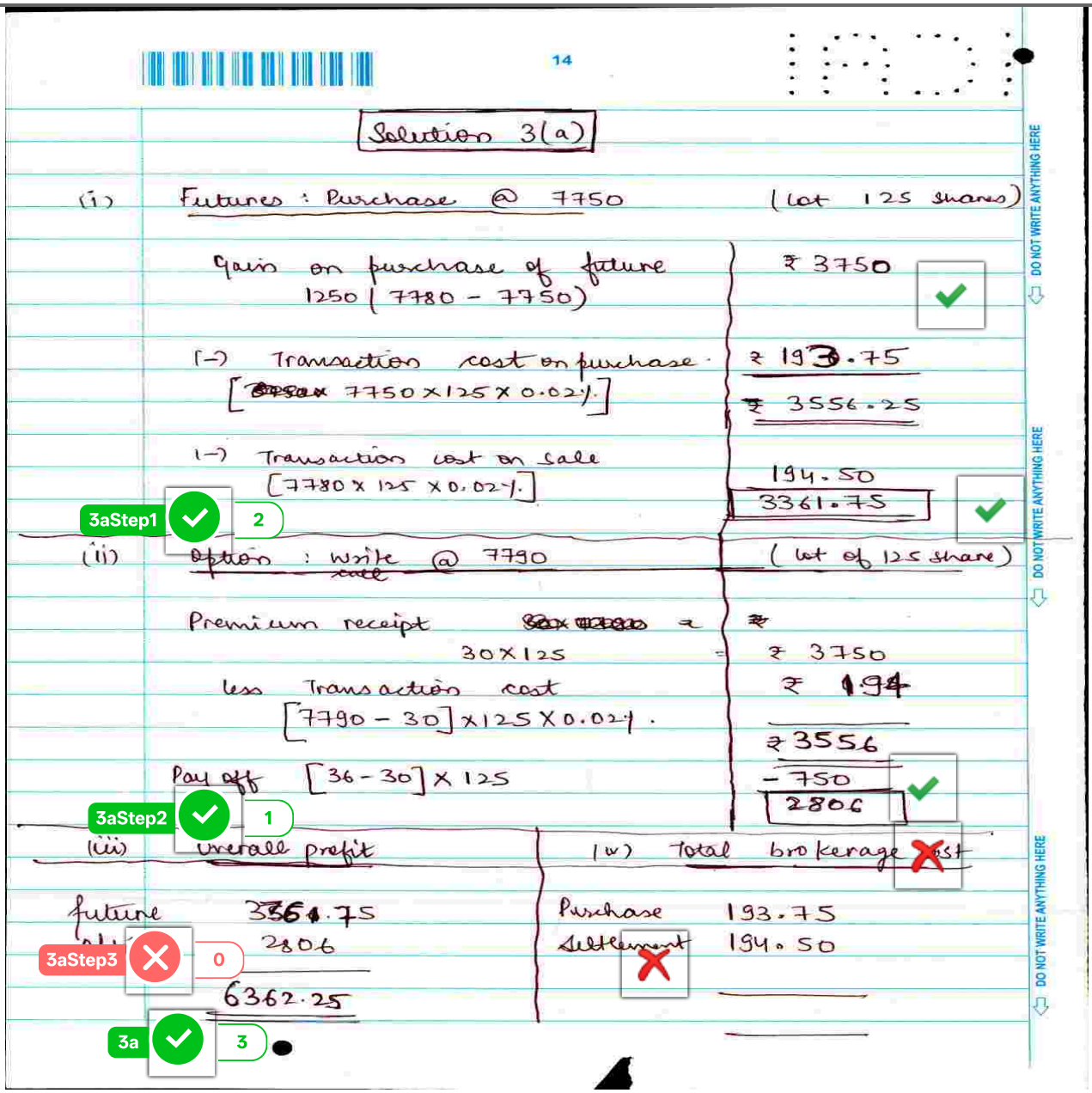
Note: It is being assumed that company is currently operated @ 65% of capacity when the sale is being increased by the 40%. then 25% of the existing capacity to be used for additional 5% to be for bring in the new fixed asset

Same as in case of 95%, 35% to bring in the new fixed asset.

Solution 2(c)

Particulars.	Real option	Financial option
(i) underlying Asset	underlying asset are generally project or investment entity want to take up.	In this underlying asset are share, commodity future, currency option
(ii) Pay off	Generally Gross pay off	Net pay off.
(iii) Exercise period	Generally 1 year or more. long period	They are generally for short duration.
(iv) Approach	Timing option, Growth option, abandonment option	Put option, call option

2cStep1 2
2c 2
2 8



Solution 3(a)

(i) Futures : Purchase @ 7750 (lot 125 shares)

Gain on purchase of future 1250 (7780 - 7750) ₹ 3750

(-) Transaction cost on purchase [7750 × 125 × 0.02%] ₹ 193.75

₹ 3556.25

(-) Transaction cost on sale [7780 × 125 × 0.02%] 194.50

3361.75

3aStep1 2

(ii) Option : write @ 7790 (lot of 125 share)

Premium receipt 30 × 125 = ₹ 3750

less Transaction cost [7790 - 30] × 125 × 0.02% ₹ 194

₹ 3556

Pay off [36 - 30] × 125 - 750

2806

3aStep2 1

(iii) Overall profit

future 3361.75

2806

6362.25

3aStep3 0

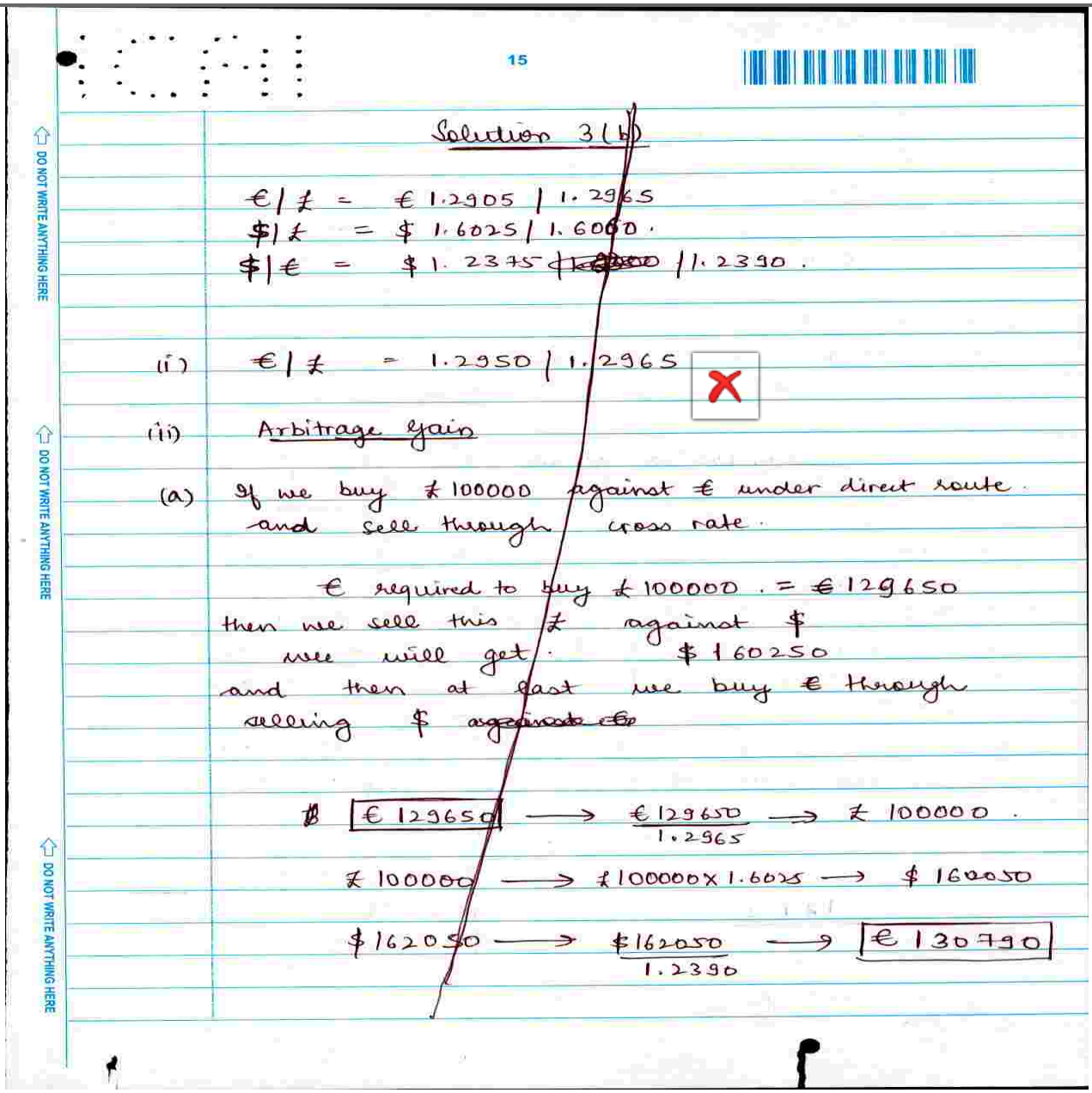
3a 3

(iv) Total brokerage cost

Purchase 193.75

Settlement 194.50

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15

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Solution 3(b)

€/£ = € 1.2905 / 1.2965
$/£ = $ 1.6025 / 1.6060.
$/€ = $ 1.2375 / 1.2390.

(i) €/£ = 1.2950 / 1.2965

(ii) Arbitrage gain

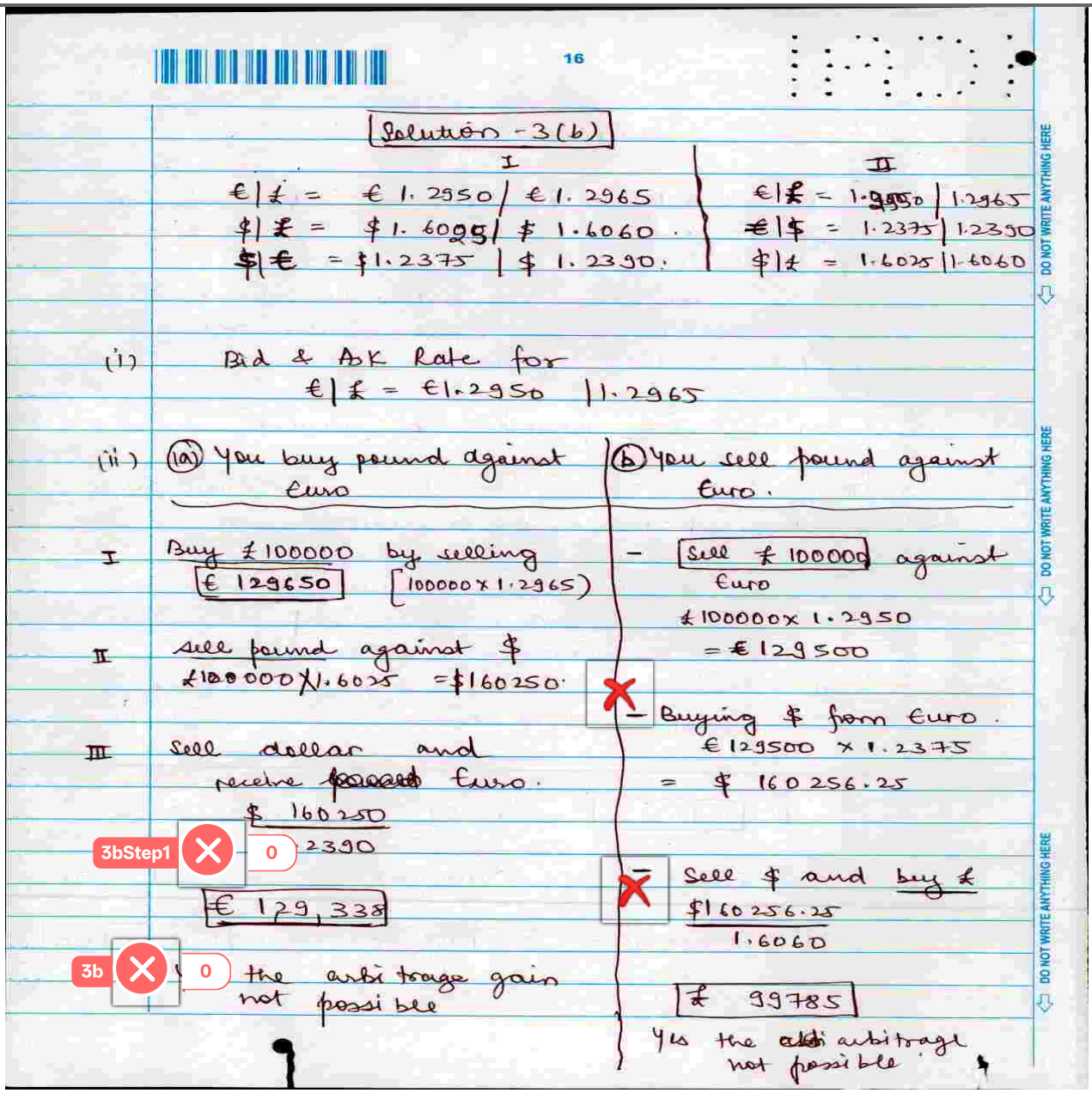
(a) If we buy £100000 against € under direct route and sell through cross rate.

€ required to buy £100000 . = € 129650
then we sell this £ against $
we will get. $ 160250
and then at last we buy € through selling $

$ € 129650 → € 129650 / 1.2965 → £ 100000.

£ 100000 → £ 100000 × 1.6025 → $ 160050

$ 160250 → $ 160250 / 1.2390 → € 130790



16

Solution - 3(b)

I	II
€/£ = € 1.2950 / € 1.2965	€/£ = 1.2950 / 1.2965
$/£ = $ 1.6025 / $ 1.6060	€/$ = 1.2375 / 1.2390
$/€ = $1.2375 / $ 1.2390	$/£ = 1.6025 / 1.6060

(i) Bid & Ask Rate for
€/£ = €1.2950 / 1.2965

(ii) (a) You buy pound against Euro

I Buy £100000 by selling
€ 129650 [100000 × 1.2965]

II sell pound against $
£100000 × 1.6025 = $160250

III Sell dollar and receive Euro.
$ 160250
/ 1.2390
€ 129,338

3bStep1 0

3b 0 the arbitrage gain not possible

(b) You sell pound against Euro.

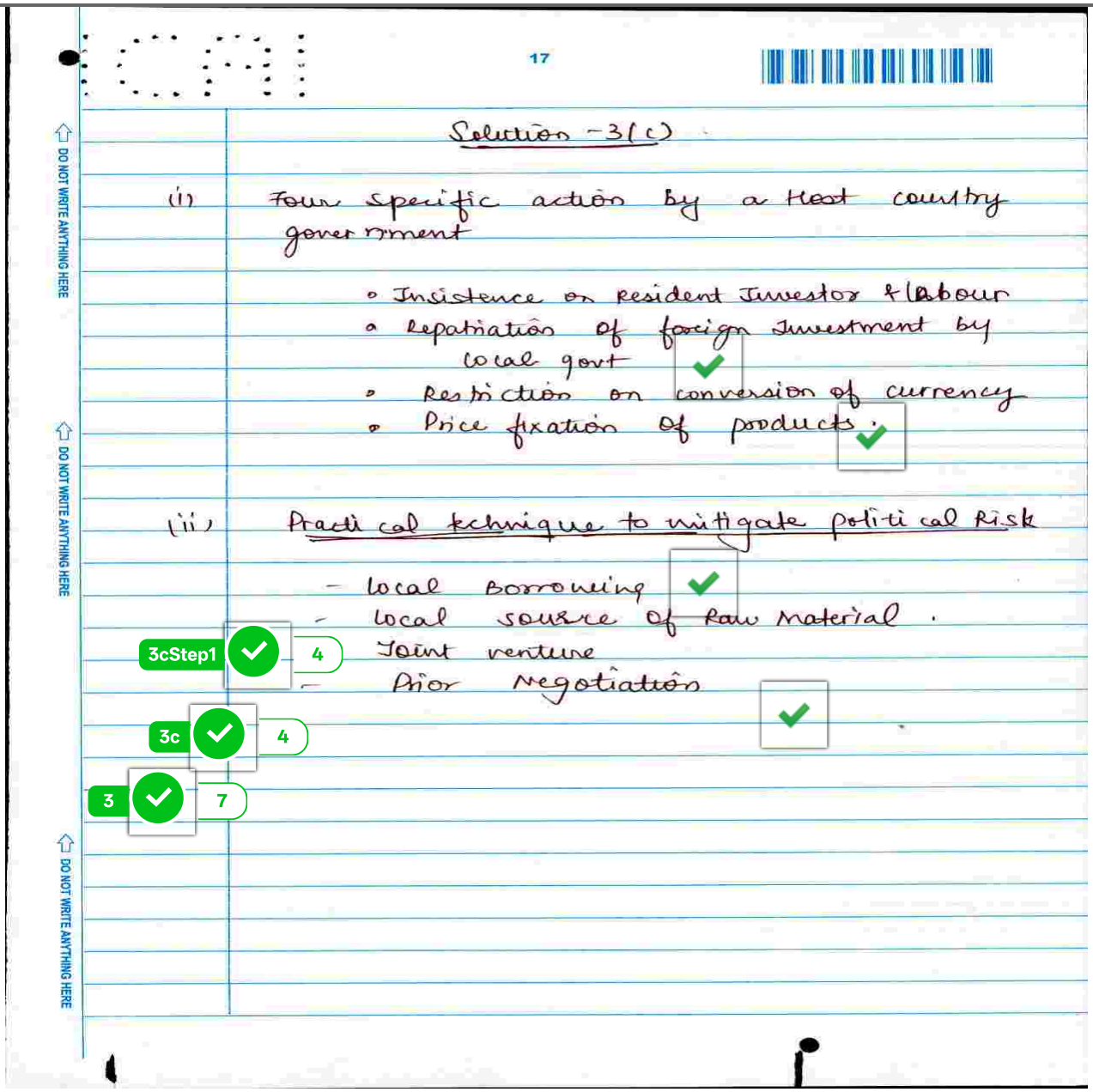
Sell £ 100000 against Euro
£100000 × 1.2950
= € 129500

Buying $ from Euro.
€ 129500 × 1.2375
= $ 160256.25

Sell $ and buy £
$160256.25 / 1.6060
£ 99785

Yes the arbitrage not possible.

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17

Solution - 3(c)

(i) Four specific action by a Host country government

- Insistence on resident Investor & labour
- Repatriation of foreign Investment by local govt
- Restriction on conversion of currency
- Price fixation of products.

(ii) Practical technique to mitigate political Risk

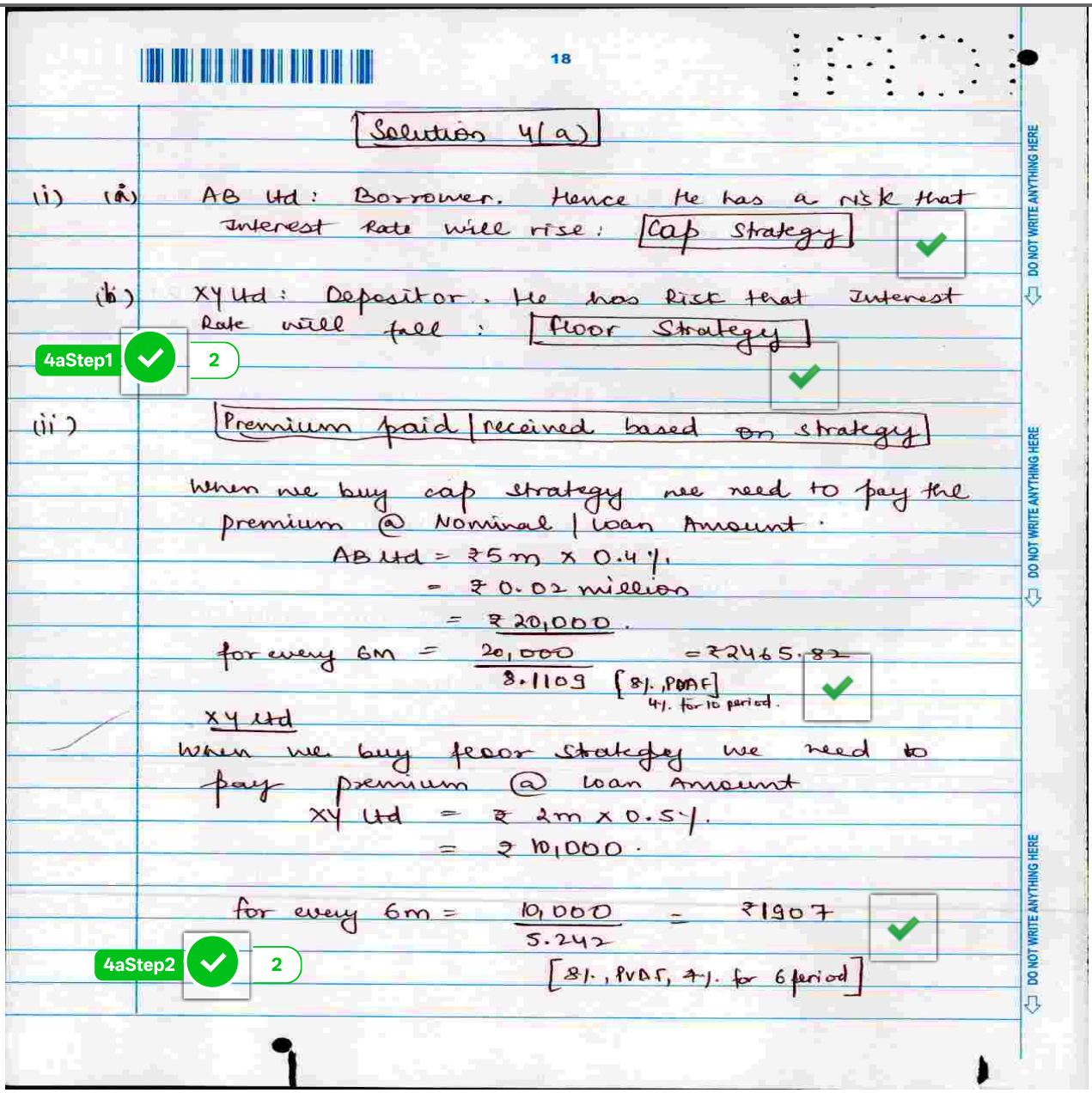
- local Borrowing
- local source of Raw material.
- Joint venture
- Prior Negotiation

3cStep1 4

3c 4

3 7

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18

Solution 4(a)

(i) (a) AB Ltd: Borrower. Hence he has a risk that Interest Rate will rise: Cap Strategy ✔

(b) XY Ltd: Depositor. He has Risk that Interest Rate will fall: Floor Strategy ✔

4aStep1 ✔ 2

(ii) Premium paid/received based on strategy

When we buy cap strategy we need to pay the premium @ Nominal/Loan Amount.

AB Ltd = ₹5m × 0.4%
= ₹0.02 million
= ₹20,000.

for every 6m = 20,000 / 8.1109 = ₹2465.82 [8%, PVAF 4% for 10 period.] ✔

XY Ltd

When we buy floor strategy we need to pay premium @ loan Amount

XY Ltd = ₹2m × 0.5%.
= ₹10,000.

for every 6m = 10,000 / 5.242 = ₹1907 [8%, PVAF, 4% for 6 period] ✔

4aStep2 ✔ 2

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(iii) Net gain/loss due to Hedging

AB Ltd

	₹
Interest to be paid (5 million × 10.5% × 6/12)	262500
(–) Amount from cap strategy [5 million × (10 – 8) × 6/12]	(50,000)
(+) Equivalent premium Amt of period Not paid.	2465
	214965.82

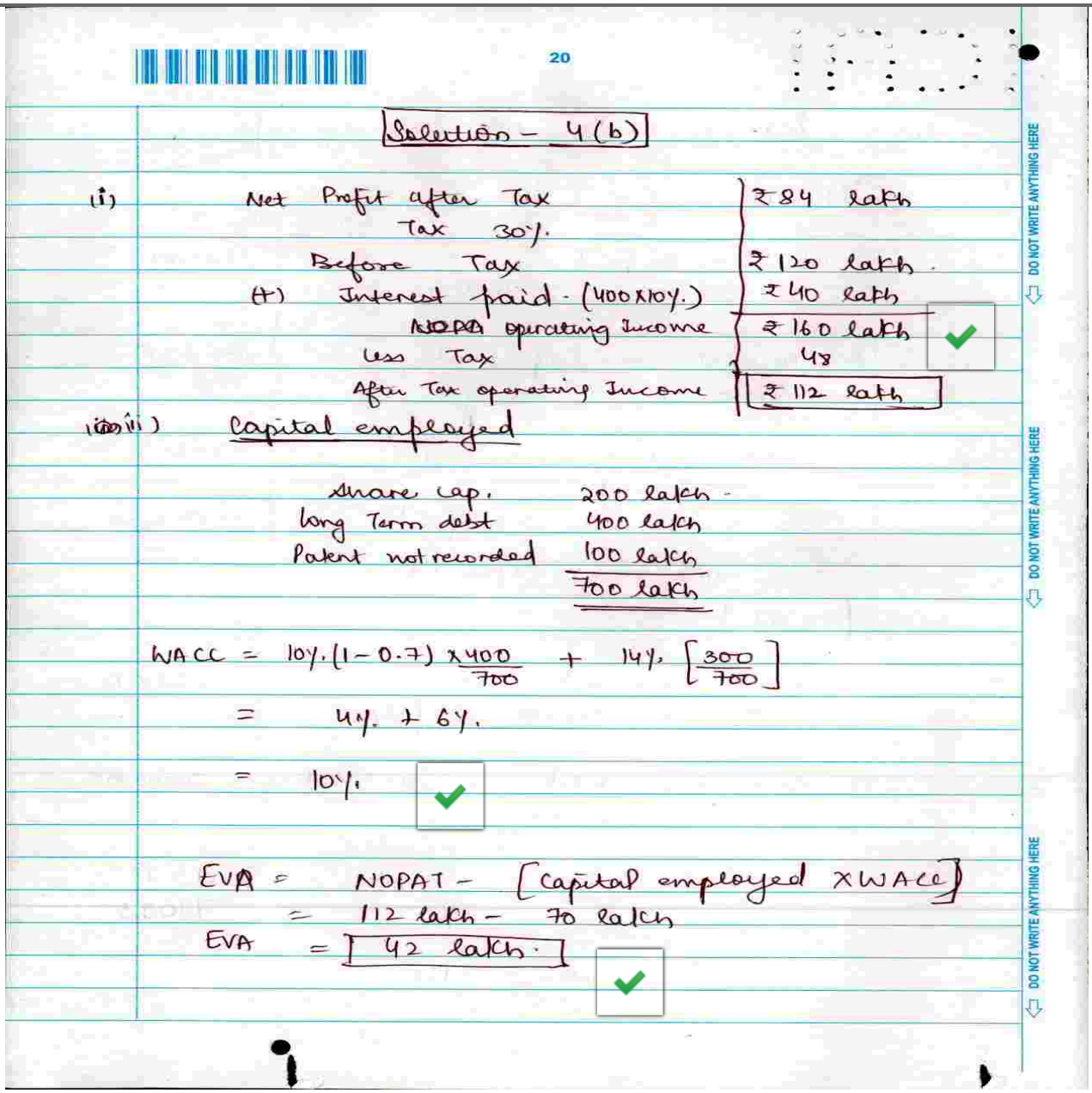
With cap gain = 47,534.18.

XY Ltd.

Interest received [2 million × (6 – 0.5)%] × 6/12	55,000
(+) Amount received from floor strategy [2 million × (8 – 6) × 6/12]	20,000
(–) Equivalent premium amt.	(1907)
	73093

4aStep3 2 Floor Gain = 18093.

4a 6



20

Solution – 4 (b)

(i) Net Profit after Tax ₹ 84 lakh
Tax 30%.
Before Tax ₹ 120 lakh.
(+) Interest paid - (400 x 10%.) ₹ 40 lakh
NOPAT operating Income ₹ 160 lakh
Less Tax 48
After Tax operating Income ₹ 112 lakh

(ii) Capital employed

Share cap.	200 lakh
long Term debt	400 lakh
Patent not recorded	100 lakh
	700 lakh

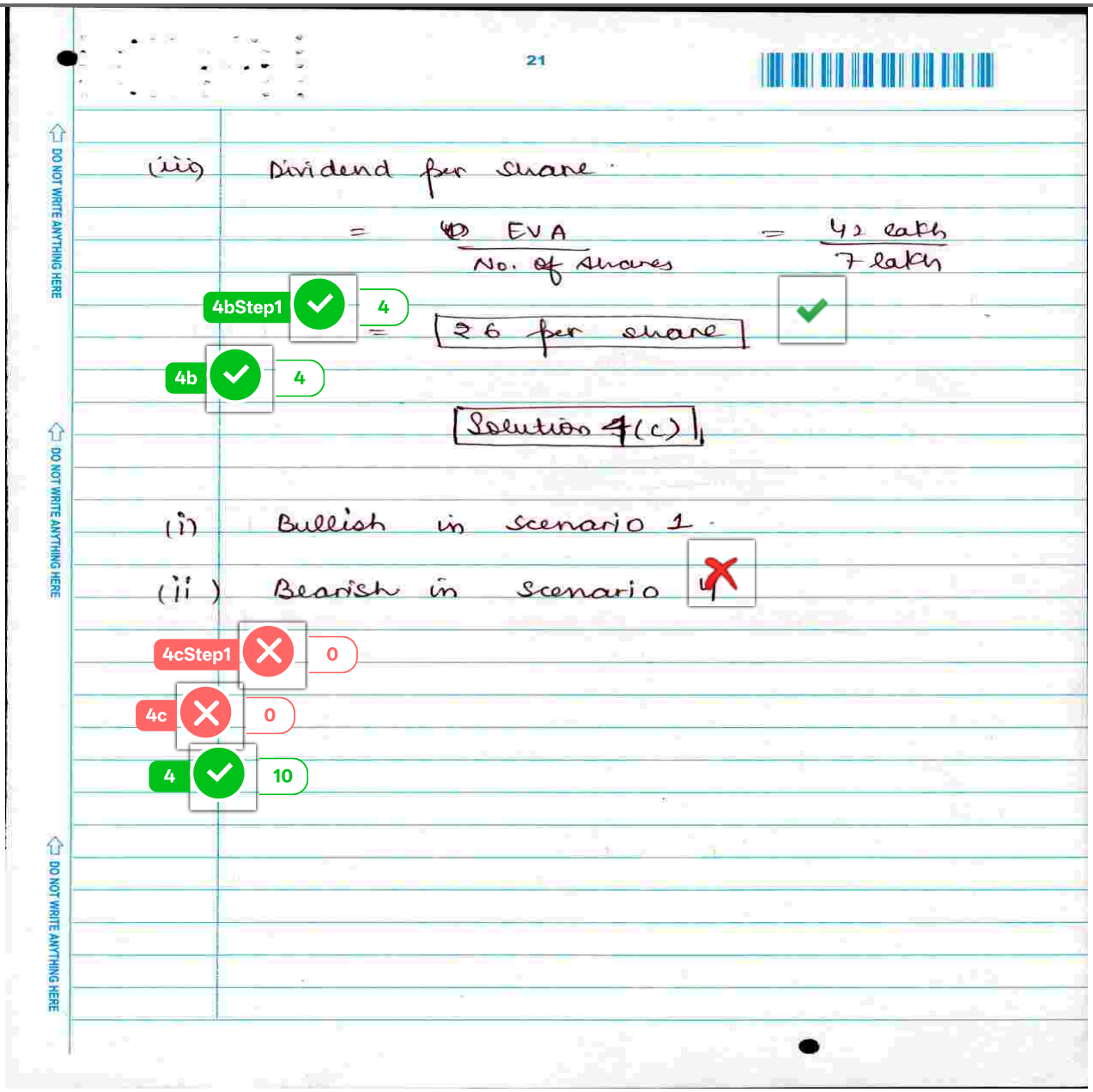
$$WACC = 10\%.(1-0.7)\times\frac{400}{700} + 14\%.\left[\frac{300}{700}\right]$$

$$= 4\% + 6\%.$$

$$= 10\%$$

EVA = NOPAT – [Capital employed x WACC]
= 112 lakh – 70 lakh
EVA = [42 lakh.]

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21

(iii) Dividend per share.

= EVA / No. of shares = 42 lakh / 7 lakh

= ₹6 per share

4bStep1 4

4b 4

Solution 4(c)

(i) Bullish in scenario 1.

(ii) Bearish in scenario 4

4cStep1 0

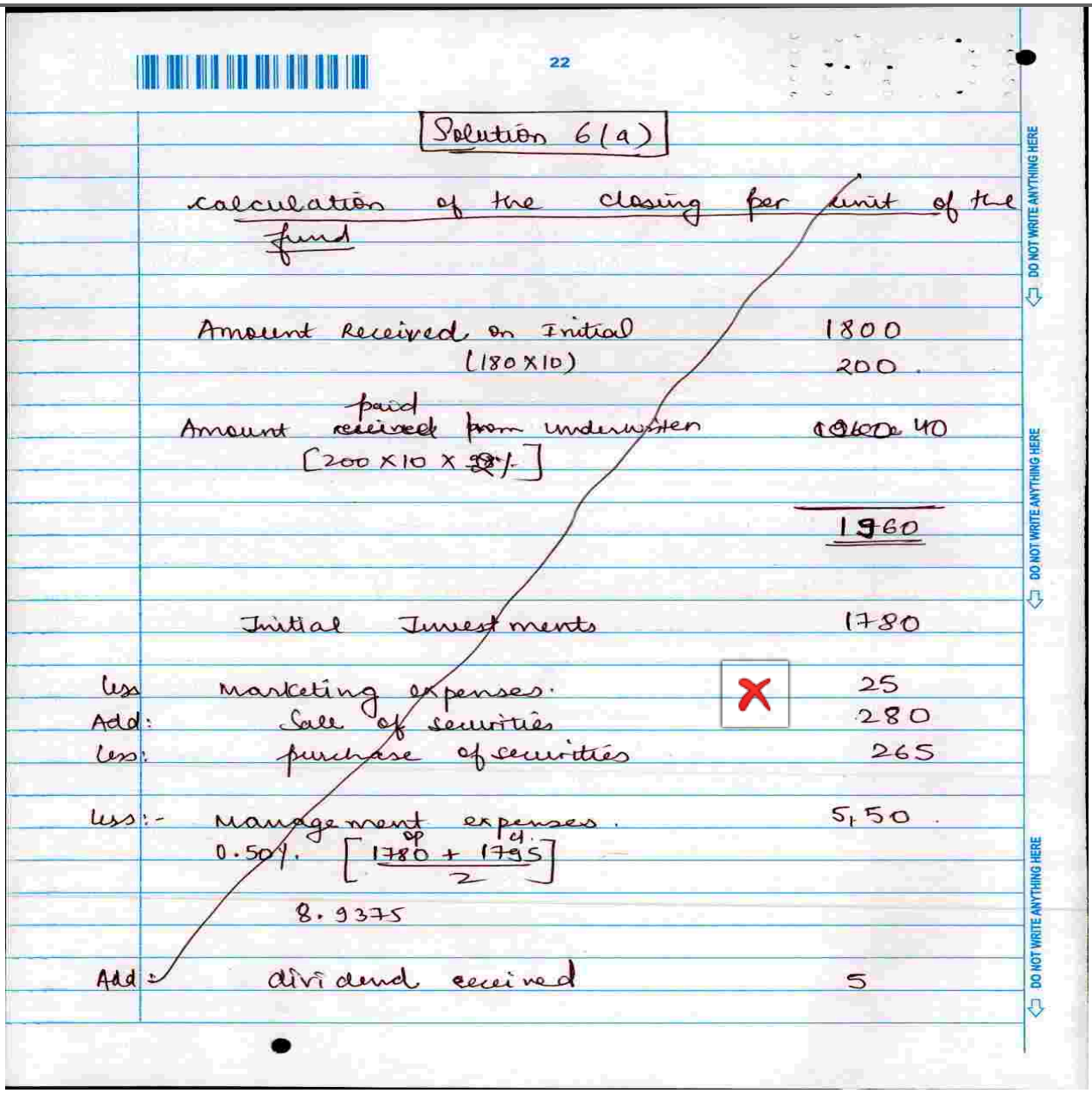
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4 10

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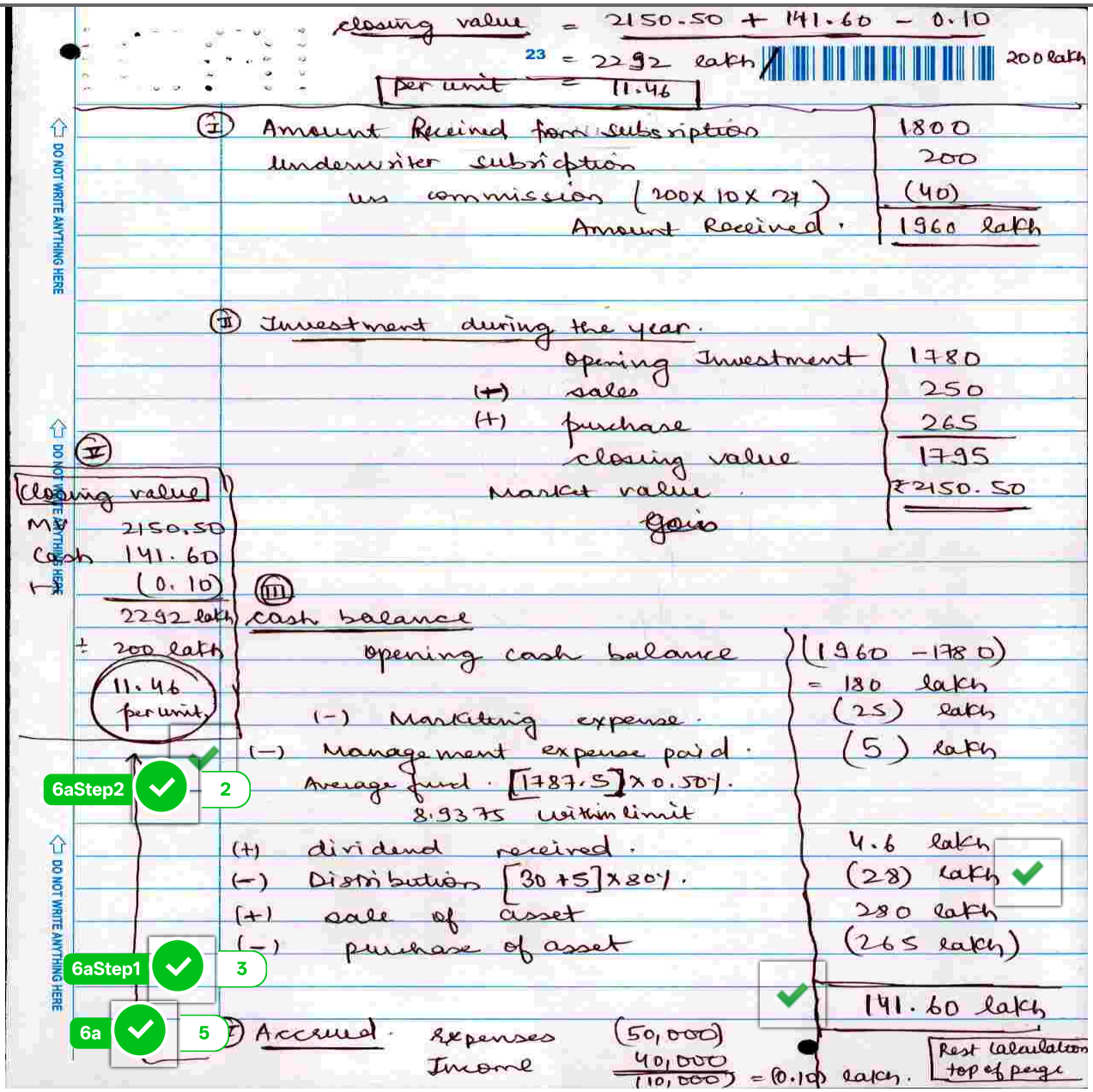
22

Solution 6(a)

Calculation of the closing per unit of the fund

	Amount Received on Initial (180 X 10)	1800
		200
	Amount paid received from underwriten [200 X 10 X 98%]	1960
		1960
	Initial Investments	1780
Less	Marketing expenses.	25
Add:	Sale of securities	280
Less:	purchase of securities	265
Less:-	Management expenses. 0.50% [(1780 + 1795)/2]	5.50
	8.9375	
Add:-	dividend received	5

DO NOT WRITE ANYTHING HERE



closing value = 2150.50 + 141.60 − 0.10
= 2292 lakh 200 lakh
per unit = 11.46

(I) Amount Received from subscription 1800
underwriter subscription 200
less commission (200 × 10 × 2%) (40)
Amount Received. 1960 lakh

(II) Investment during the year.
Opening Investment 1780
(+) sales 250
(+) purchase 265
closing value 1795
Market value ₹2150.50
gain

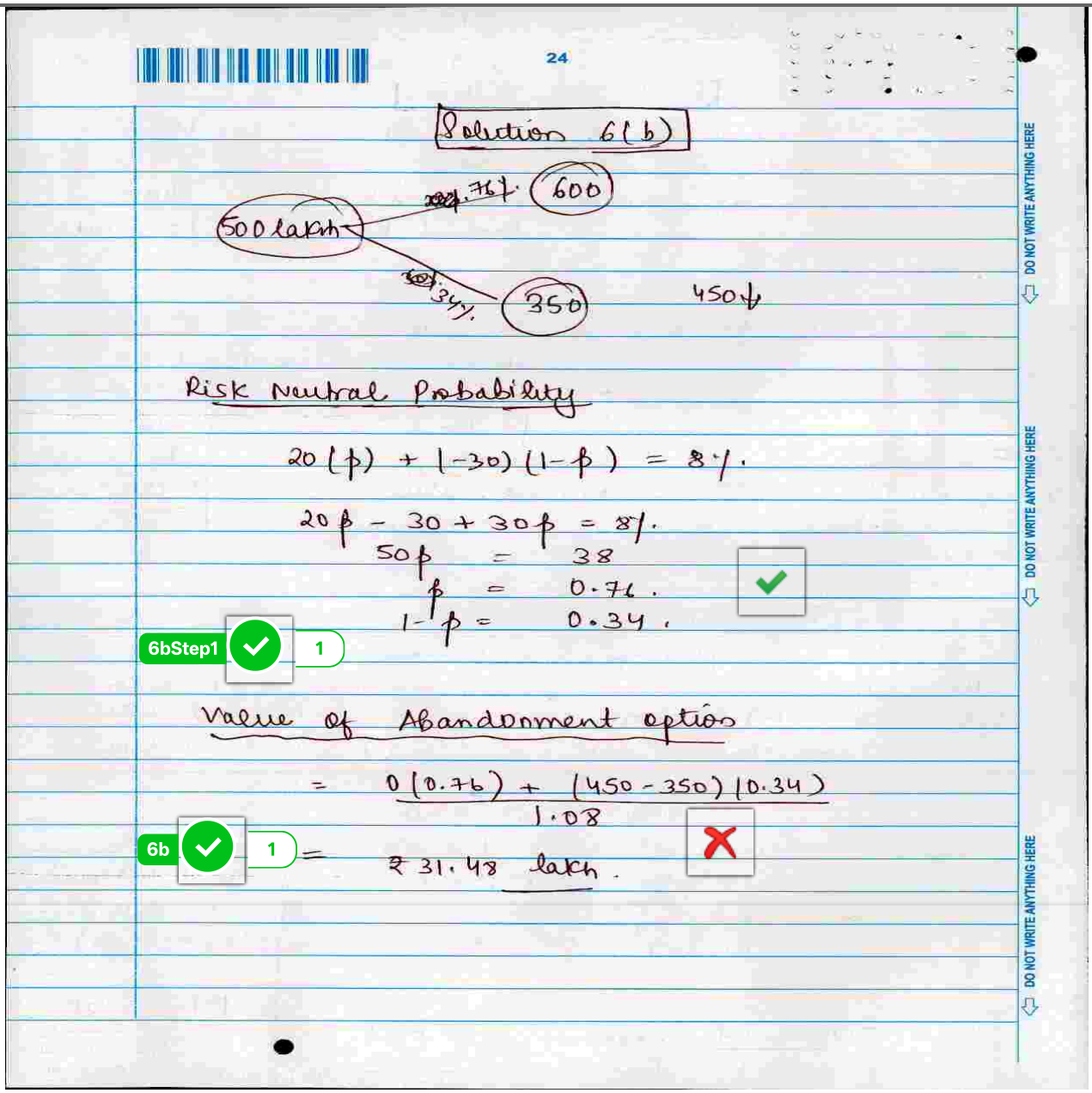
(I)
closing value
MV 2150.50
Cash 141.60
(0.10)
2292 lakh
+ 200 lakh
11.46 per unit

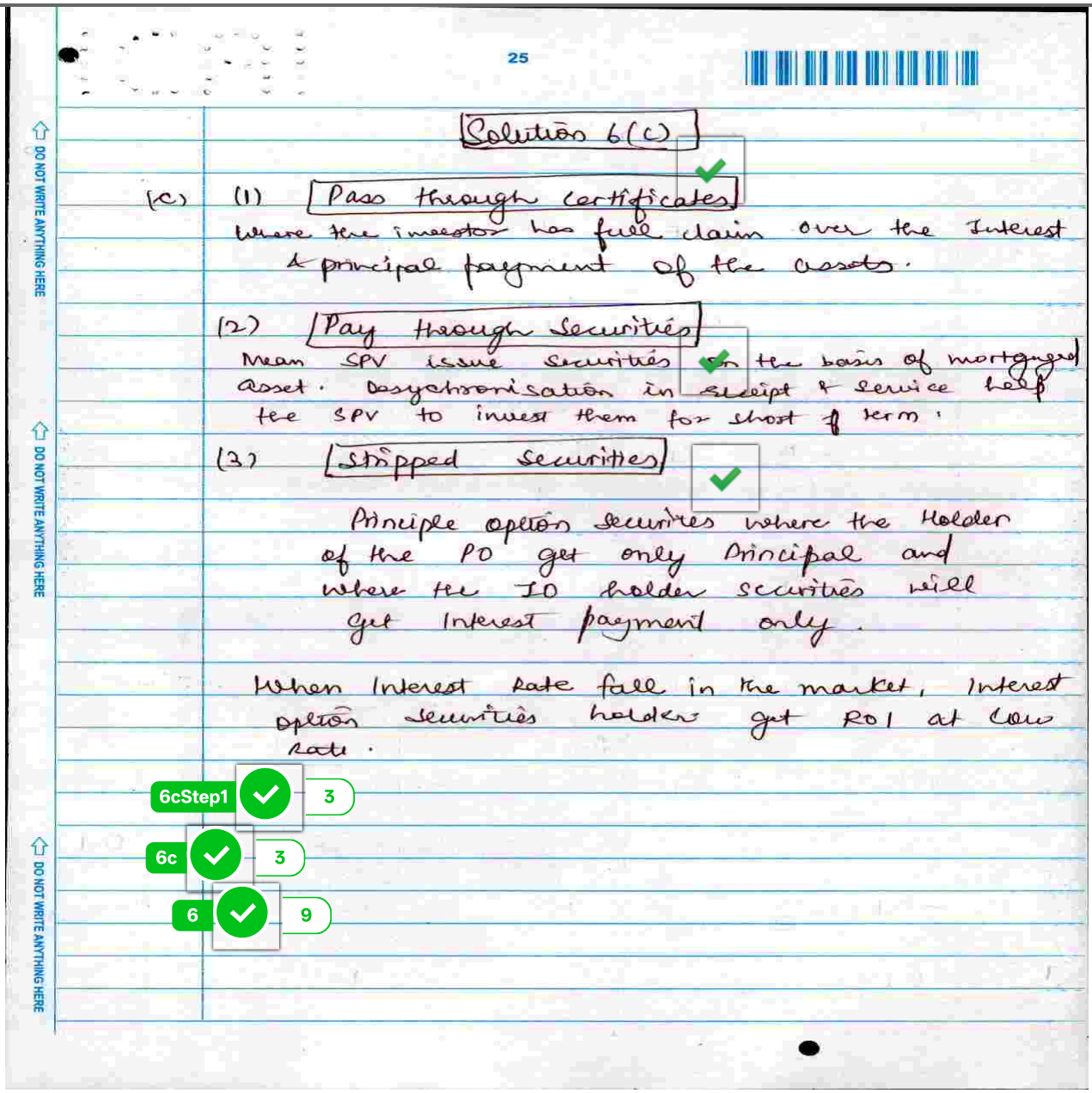
(III) Cash balance
opening cash balance (1960 − 1780)
= 180 lakh
(−) Marketing expense. (25) lakh
(−) Management expense paid. (5) lakh
Average fund. [1787.5] × 0.50%.
8.9375 within limit
(+) dividend received. 4.6 lakh
(−) Distribution [30 + 5] × 80%. (28) lakh
(+) sale of asset 280 lakh
(−) purchase of asset (265 lakh)
141.60 lakh

(I) Accrued. Expenses (50,000)
Income 40,000
(10,000) = (0.10) lakh.

Rest calculation top of page

6aStep2 2
6aStep1 3
6a 5


24
Solution 6(b)
600
500 lakh
350
450
Risk Neutral Probability
20(p) + (-30)(1-p) = 8%
20p - 30 + 30p = 8%
50p = 38
p = 0.76
1-p = 0.34
6bStep1
1
Value of Abandonment option
= 0(0.76) + (450 - 350)(0.34) / 1.08
6b
1
= ₹ 31.48 lakh
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE



25

Solution 6(c)

(c) (1) Pass through certificates

Where the investor has full claim over the Interest & principal payment of the assets.

(2) Pay through Securities

Mean SPV issue securities on the basis of mortgaged asset. Asynchronisation in receipt & service help the SPV to invest them for short term.

(3) Stripped Securities

Principle option securities where the Holder of the PO get only Principal and where the IO holder securities will get Interest payment only.

When Interest Rate fall in the market, Interest option securities holder get ROI at low Rate.

6cStep1 3

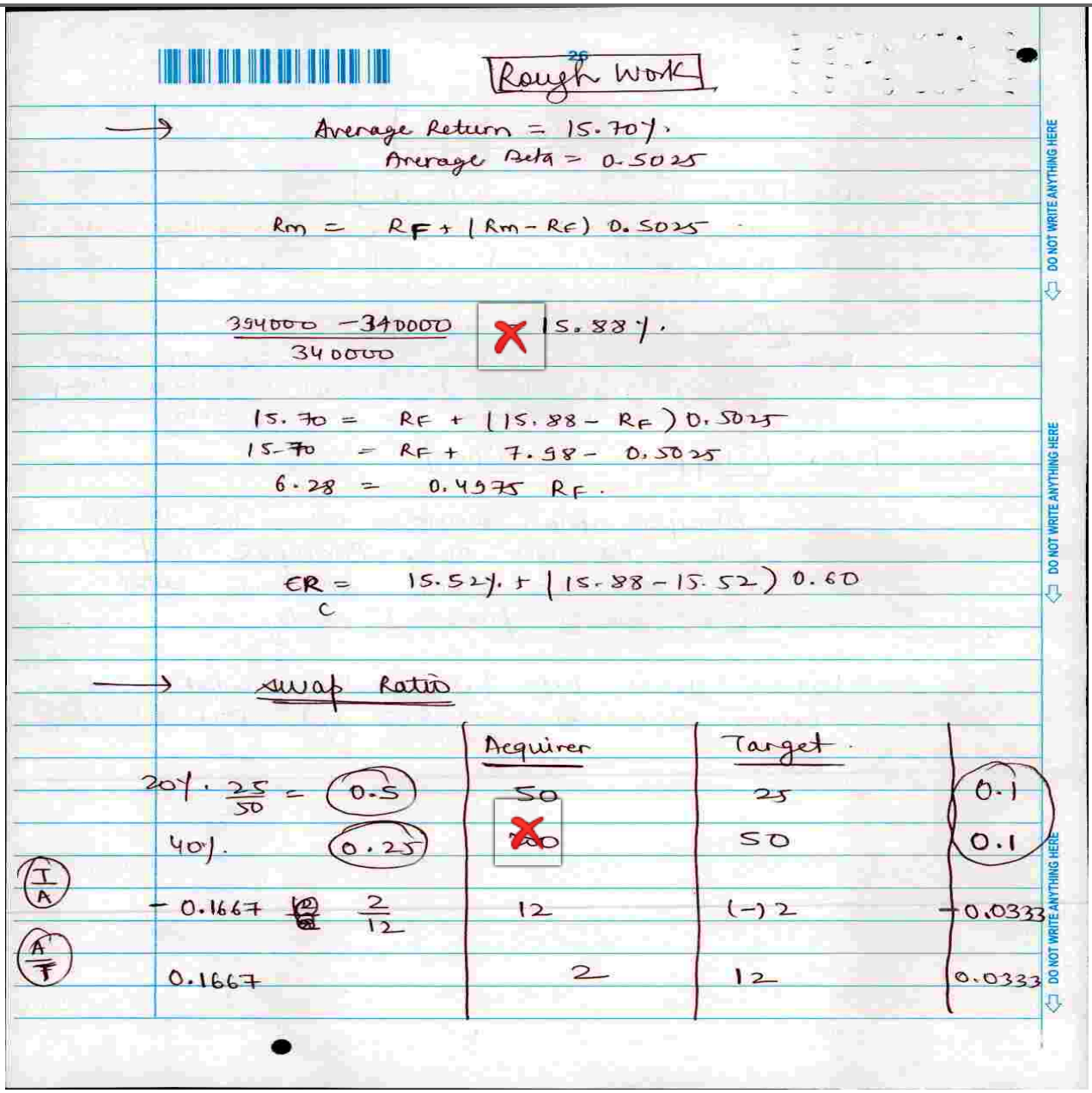
6c 3

6 9

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Rough Work

→ Average Return = 15.70%.
Average Beta = 0.5025

$R_m = R_F + (R_m - R_F)\ 0.5025$

$\frac{394000 - 340000}{340000}$ ✗ 15.88%.

$15.70 = R_F + (15.88 - R_F)\ 0.5025$
$15.70 = R_F + 7.98 - 0.5025$
$6.28 = 0.4975\ R_F$.

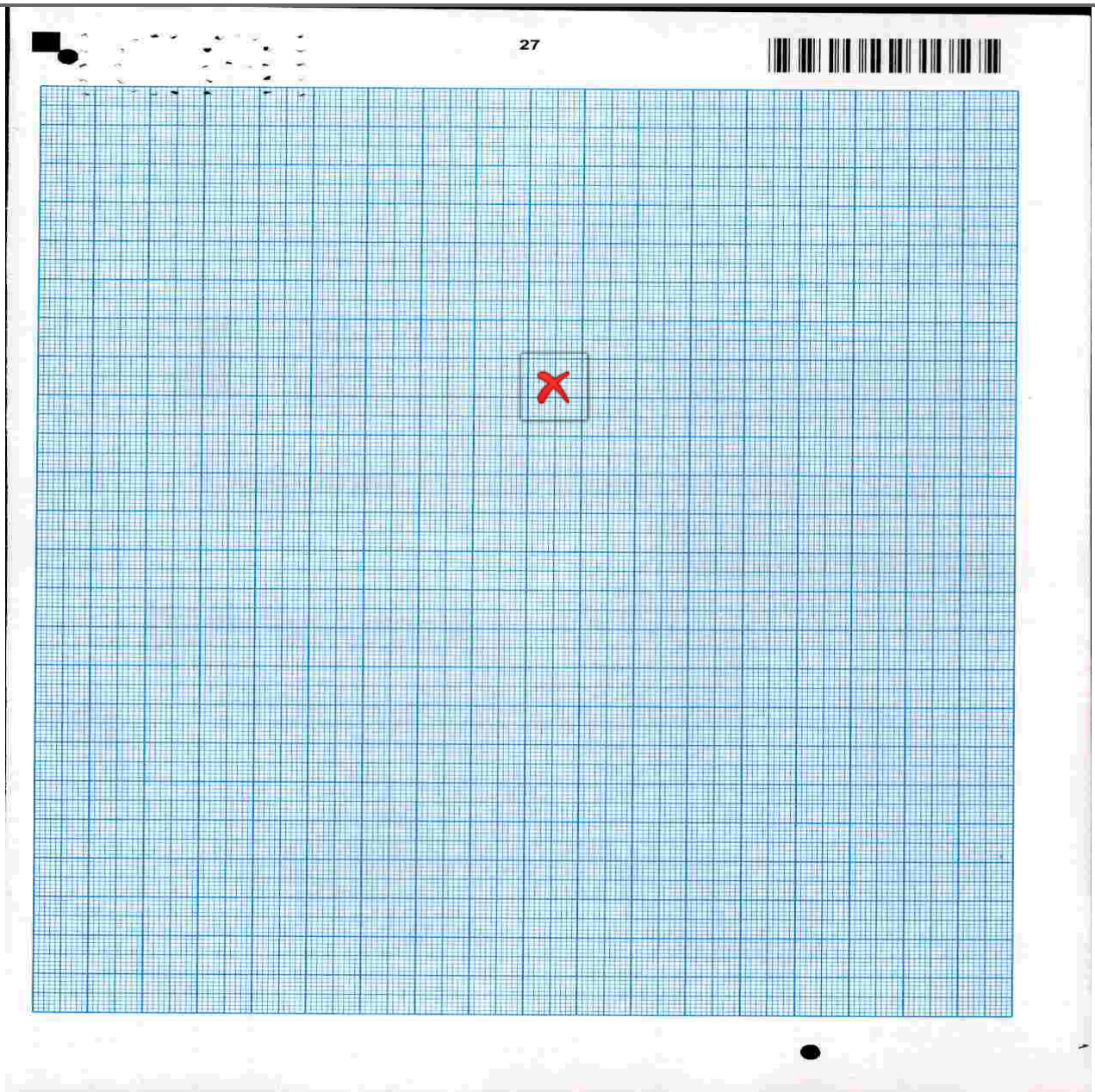
$ER_C = 15.52\% + (15.88 - 15.52)\ 0.60$

→ Swap Ratio

		Acquirer	Target	
20% · 25/50 =	0.5	50	25	0.1
40%	0.25	~~200~~ ✗	50	0.1
(I/A) −0.1667	2/12	12	(−) 2	−0.0333
(A/T) 0.1667		2	12	0.0333

DO NOT WRITE ANYTHING HERE

Code:	**FN2AF181155**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**47**



28

Rough Work

Q1 Short Bank ⟶ Long Bank
7 days.
8%. GOI Bond
5 cr.

500 no. × 100000 .

Accrued Interest
500×100000×8%. X

Q2 DMP Bank ← 86.80.
31 July 2025.
28 June 86.50 | 86.55.

~~86.50×8%~~ 86.55 × 8%. × 33/365

86.55
0.626
87.1750

DMP Bank ← 86.80

86.55 86.50

86.55 × 8%. × 33/365

86.5500
0.5880
87.1375

The Institute of Chartered Accountants of India

Code: FN2AF181155
Subject : 02 Advanced Financial Management

Total Marks: 70
Marks Obtained : 47

Result Overview

Awarded Marks: 47 **Max Marks:70**

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 13/14)

Question No	Awarded Marks	Maximum Marks	Status
1	13	14	M
1a	6	6	M
1b	3	4	M
1c	4	4	M

Q2_Q6 (Score: 34/56)

Question No	Awarded Marks	Maximum Marks	Status
2	8	14	M
2a	6	6	M
2b	0	4	M
2c	2	4	M
3	7	14	M
3a	3	6	M
3b	0	4	M
3c	4	4	M
4	10	14	M
4a	6	6	M
4b	4	4	M
4c	0	4	M

5	0	14	O
5a	0	8	O
5b	0	6	O
6	9	14	M
6a	5	6	M
6b	1	4	M
6c	3	4	M